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BENJAMIN v. COSTCO WHOLESALE CORPORATION (2025)

United States District Court, E.D. New York.

Guerline BENJAMIN, Plaintiff, v. COSTCO WHOLESALE CORPORATION, Defendant.

2:24-cv-7399 (LGD)

Decided: April 24, 2025

Victoria Hovsepyan, Pro Hac Vice, Hovsepyan Law Group, PC, Brooklyn, NY, for Plaintiff. John P. Connors, Jr., Erik McKenna, Connors & Connors, P.C., Staten Island, NY, for Defendant.

ORDER IMPOSING SANCTIONS

A client expects that her attorney will vigorously pursue her case and make persuasive arguments on her behalf to the court. And she expects that the lawyer will perform the work in an efficient manner. Likewise, courts expect submissions from attorneys to be accurate. They similarly anticipate counsel will identify the appropriate authority supporting a legal position presented to the court.

None of that happened here. In this case, Plaintiff's counsel, Victoria Hovsepyan, cited fake cases to the Court in her reply in support of a motion to remand. See ECF No. 19 (the "Reply"). It later became apparent that counsel generated these case citations through the use of an artificial intelligence ("AI") platform called ChatOn. See ECF No. 2[illegible]1 (the "Response") ¶ 3. The arrival of AI platforms that can [illegible]nd supply alleged "case law" poses legal and ethical issues f[illegible] Neal, The Legal Profession in 2024: AI, Harv. L. Today (Fe[illegible]y /harvard-law-expert-explains-how-ai-may-transform-the[illegible] tools can make legal work more efficient, they also can "[illegible] blatantly incorrect information that, on its face, appears [illegible] produce case citations that conform to the Bluebook, bu[illegible] tools can "aid lawyers and their clients," they lack the pro[illegible] attorneys are hired to provide. Id.

Unfortunately, this case is nothing new. In recent years, c[illegible] to receive submissions littered with AI-generated "case" citations. As one court observed, "thus far [generative AI's] batting average in legal briefs leaves something to be desired." Pegnato[illegible]re Sports Techs. LLC, No. 23-CV-01424, 2023 WL 6626159, at *5 n.5 (D.S.C. Oct. 11, 2023). [illegible] epidemic of citing fake cases has continued unabated, and, by way of example, the undersigned has identified at least four reported cases in the recent weeks confronting this very same issue. See

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has identified at least four reported cases in the recent weeks confronting this very same issue. See Ferris v. Amazon.com Servs., LLC, No. 24-CV-304, 2025 WL 1122235, at *1 (N.D. Miss. Apr. 16, 2025) ("Parties who cite false cases not only seek to secure unfair advantage, they are, in fact, avatars of a post-truth world."); Bevins v. Colgate-Palmolive Co., No. 25-CV-576, 2025 WL 1085695, at *7 (E.D. Pa. Apr. 10, 2025) (counsel "violated Fed. R. Civ. P. 11(b)(2) by submitting briefs to the Court that cited case law that did not support his stated propositions and which, on their face, do not exist"); Gordon v. Wells Fargo Bank N.A. Inc., No. 24-CV-388, 2025 WL 1057211, at *3 (M.D. Ga. Apr. 8, 2025) ("While there is no general prohibition on using AI during the course of litigation, Plaintiff has a duty to ensure he is not citing to fake opinions in his filings."); Dehghani v. Castro, No. 25-CV-0052, 2025 WL 988009, at *4 (D.N.M. Apr. 2, 2025) (in imposing sanctions, the court noted that counsel had submitted "non-existent cases" that were "likely the handiwork of a ChatGPT or similar artificial intelligence (AI) program's hallucinations").[1]

These phony submissions raise serious problems. To start with the obvious, an attorney who submits fake cases clearly has not read those nonexistent cases, which is a violation of Rule 11 of the Federal Rules of Civil Procedure. As detailed below, these made-up cases create unnecessary work for courts and opposing attorneys alike. And perhaps most critically, they demonstrate a failure to provide competent representation to the client.[2]

With this background in mind, the Court now considers whether sanctions are appropriate in this case. On February 12, 2025, the undersigned ordered Plaintiff's counsel to show cause either by (1) providing copies of the cases cited in the Reply or (2) submitting a sworn attorney declaration explaining how she came to locate the apparently nonexistent cases counsel cited. ECF No. 25. The Court has reviewed Plaintiff's submission (ECF No. 31) and held a hearing on April 16, 2025. See ECF No. 34 (minute order). For the foregoing reasons, th
warranted.

I. FACTUAL AND PROCEDURAL BACKGROUND

A. The Motion to Remand

Plaintiff Guerline Benjamin commenced this action in Ne
alleging a negligence cause of action against Defendant
1-1. Pursuant to 28 U.S.C. § 1447, Defendant later remov
No. 1. Subsequently, Plaintiff's counsel (who is admitted
but is not admitted to this District) file a motion to appe
approved. See ECF No. 5; Electronic Order, dated Octobe
November 29, 2024, Plaintiff indicated her intention to m
ECF No. 11. Accordingly, District Judge Nusrat J. Choudhury (to whom this case was assi
time), set a briefing schedule, ordering that Plaintiff serve any motion to remand by De
2024, that any opposition be served by January 2, 2025, and that any reply be served by
2025. See Electronic Order, dated December 3, 2024. On December 17, 2024, Plaintiff filed her

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motion to remand the case to state court. ECF No. 12. On January 6, 2025 (four days after the court-ordered deadline), Defendant filed an untimely opposition to the motion to remand. ECF No. 13.

What followed, in the undersigned's opinion, was a wholly unnecessary letter-writing campaign by the parties. First, Defendant submitted a letter on January 7, 2025, explaining that a law office error was the cause of its untimely filing and consenting to an extension of time for Plaintiff to file a reply. ECF No. 15. Two days later, on January 9, 2025, Plaintiff filed a letter requesting that Judge Choudhury "disregard Defendants' untimely opposition and proceed as if no opposition has been filed and hereby grant Plaintiff's Motion to Remand." ECF No. 16. Judge Choudhury construed Defendant's submission as an "after-the-fact motion for an extension of time" and Plaintiff's letter as a motion to strike the untimely opposition or, in the alternative, for an extension of time to file a reply. Electronic Order, dated January 9, 2025. Judge Choudhury denied both motions without prejudice to renew after the parties had engaged in the required meet and confer process. Id. However, even after the meet and confer efforts that apparently took place on January 10, 2025, Plaintiff's counsel continued to take an aggressive position opposing Defendant's "after-the-fact" extension request. ECF No. 18. Defendant, by contrast, did consent to an extension of time for Plaintiff to file a reply. Id. On January 15, 2025, Judge Choudhury granted Defendant's "after-the-fact" extension request and ordered Plaintiff to reply by January 17, 2025. Plaintiff never requested an extension of that deadline and filed the Reply at 8:52 PM on January 17, 2025. See ECF No. 17.

Only a few days later, on January 22, 2025, the parties appeared before the undersigned for the Initial Conference. The Court approved the parties' proposed schedule (ECF No. 20), and noted that "[t]he parties have indicated that they consent to the un
purposes" and therefore "shall file the appropriate paper
the parties consented to the jurisdiction of the undersig
January 30, 2025.

B. The Order to Show Cause

Aside from the overzealous letter-writing campaign, the
raise few eyebrows. However, things took an unexpected
submissions in connection with the pending motion to r
Show Cause, in reviewing the Reply (which took the form
perjury), the Court was unable to locate five of the seven
identified the following issues:

- Klein v. E. I. Du Pont de Nemours & Co., 406 F.2d 1004, 1006 (2d Cir. 1969), see ECF No. 12 ¶ 4, does not exist. The case found at that citation is Spartans Indus., Inc. v. N.L.R.B., 406 F.2
004 (5th Cir. 1969), a case about the obligations of corporations vis-à-vis labor unions.

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- Gordon v. N.Y. Cent. R.R. Co., 202 F. Supp. 2d 290, 292 (W.D.N.Y. 2002), see ECF No. 19 ¶ 5, does not exist. The case found at that citation is Fournier v. Erickson, 202 F. Supp. 2d 290 (S.D.N.Y. 2002), a copyright case.

- Mitchell v. JCG Industries, 2010 WL 11627832, at *3 (N.D. Ill. Dec. 1., 2010), see ECF No. 19 ¶ 6, does not exist. The case found at that citation is People v. Castillo, 2010 WL 4975563 (Cal. Ct. App. Dec. 8, 2010), a California criminal case.

- Hollander v. Sweeney, 2005 WL 19904045, at *3 (S.D. Ind. Aug. 17, 2005), see ECF No. 19 ¶ 7, does not exist. That Westlaw citation is a Federal Taxes Weekly Alert page.

- Davis v. S. Farm Bureau Cas. Inc. Co., 2019 WL 3452601, at *2 (W.D. Ark. July 31, 2019), ECF No. 19 ¶ 8, does not exist. That Westlaw citation is a page describing a revision to the Ohio Streamlined Sales and Use Tax Agreement certificate of compliance.

Concerned that the cases cited in the Reply were phony, the undersigned ordered Plaintiff's counsel to show cause. See ECF No. 25. In the first instance, the Court provided Plaintiff's counsel with the opportunity to furnish copies of the cases cited in Plaintiff's motion to remand and the Reply, just in case the Court's own legal research was faulty. Id. at 4-5. If she could not do so, the Court ordered that Plaintiff's counsel show cause as to why she should not be sanctioned for providing fake cases to the Court.[4] Additionally, the Court held a hearing on the Order to Show Cause on April 16, 2025.

Plaintiff's counsel has submitted various documents in response to the Order to Show Cause. First, she submitted the cases cited in her opening brief in support of the motion to remand. See ECF No. 30. The Court's review of these cases confirms that t ns for which they are cited. Second, counsel submitted a sw the Court's suspicion that the five cases identified in the 31. Specifically, Plaintiff's counsel concedes that these ca ed the citations through the use of an AI platform known as

Claiming that she "had very little time to draft the Reply," Response that she "used AI ('ChatOn') to draft the reply g it." Id. ¶¶ 4-5. As a result, "the Reply did not even mentio ne matter should be remanded." Id. ¶ 5. Worse yet, "the arg defendant's removal of the action to this Court, rather th

At the April 16, 2025 hearing, Plaintiff's counsel presente ly came to be drafted.[5] First, she asserted that on January 15, 2025, when Judge Choudhury ordered Plaintiff to file the Reply, she had not yet begun drafting (despite being in receipt of th tion for nine days). FTR at 10:58:50-10:59:03. Because she was occupied with other tasks (inc depositions), Ms. Hovsepyan directed her paralegal to draft the reply. Id. at 11:00:19-11:00:32 ("I

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assigned it to a paralegal cause I had a lot going on that I needed to take care of personally. I had some depositions going on that I needed to prepare for."). Ms. Hovsepyan understood that whatever draft her paralegal produced would require revisions. Id. at 11:00:45-11:00:52.

Ms. Hovsepyan did not review the paralegal's work until approximately 7:00 PM on January 17th—just five hours before the Reply was due. Id. at 11:00:59-11:01:10. Recognizing that the paralegal's work required substantial revisions, Ms. Hovsepyan turned to ChatOn, which she had previously downloaded on her electronic device but never used before for legal work. Id. at 10:51:30-10:52:04. She first asked ChatOn whether it could provide assistance in drafting a legal document. Id. at 10:47:37-10:47:44. Ms. Hovsepyan then instructed ChatOn regarding the facts of the case, and ChatOn produced paragraphs containing arguments for remand. Id. at 10:47:52-10:48:26. Ms. Hovsepyan then told ChatOn that her argument would need to be supported by case law and instructed the platform to do a re-write with case citations. Id. at 10:48:26-10:48:42. In turn, AI obliged and produced the phony case law. Id.

Plaintiff's counsel then took the work produced by ChatOn and pasted it into the sworn affirmation she had created. Id. at 10:50:07-10:50:32. Plaintiff's counsel apparently adjusted ChatOn's work product to fit the facts of this case, but not in any substantial manner. Id. Plaintiff's counsel told the Court that she conducted "maybe twenty minutes" worth of review of ChatOn's work. Id. at 10:53:28-10:53:42. She did not make any effort to read the cases that ChatOn had created or to cite check them. Id. at 10:50:45-10:51:04. Plaintiff's counsel then filed the Reply with the fake case law generated by AI at 8:52 PM—approximately three hours before the deadline.

Plaintiff's counsel conceded that she made no effort to request an extension from Judge Choudhury. Id. at 10:59:20-10:59:38 ("Q: When you recei
have in fact gone back either to defense counsel or the C
point? A: I could have, yes."). Nor did she seek to meet ar
whether they would be amenable to an extension of tim
April 16th hearing that she made no such efforts becaus
would grant any extension at that time. Id. at 11:02:57-1

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Plaintiff's counsel has expressed what the Court views as
er
actions. See generally ECF No. 31. At the outset, Plaintiff'
d
never before used AI for legal research or anything law-
that she has already undertaken corrective action by enr
the legal profession. Id. ¶ 8.

To that end, upon receipt of counsel's Response, the Court ordered Plaintiff's counsel to identify "(1) the two CLE classes that she already took and whether they were free or whether Pl
counsel was required to pay for them; and (2) the prospective CLE classes that she inte
e
regarding AI issues and federal court practice." Electronic Order, dated February 28, 2025. In response, Plaintiff's counsel stated that she took a CLE course called "Legal Use Cases for

response, Plaintiff's counsel stated that she took a CLE course called "Legal Use Cases for Generative AI & Their Ethical Implications," for which she paid $59. ECF No. 32 ¶ 3. She also took a CLE course titled "Artificial Intelligence & Its Impact on the Practice of Law," which she attended for free as a result of her membership in the New York State Bar Association. Id. ¶ 4. Finally, she enrolled in two CLE courses on federal court practice and has registered for additional courses. Id. ¶¶ 5-6.

Despite these remedial measures, however, it is clear that the Court still must exercise its discretion to impose sanctions. The Court notes that the purpose of sanctions is "to deter repetition of the conduct or comparable conduct by others similarly situated." Fed. R. Civ. P. 11(c)(4). The sanctions are thus tailored to the facts of this case with those goals in mind.

II. LEGAL STANDARD

"By presenting to the court a pleading, written motion, or other paper—whether by signing, filing, submitting, or later advocating it—an attorney . certifies that to the best of the person's knowledge, information, and belief, formed after an inquiry reasonable under the circumstances . the claims, defenses, and other legal contentions are warranted by existing law or by a nonfrivolous argument for extending, modifying or reversing existing law or for establishing new law." Fed. R. Civ. P. 11(b)(2). "Rule 11 imposes a duty on attorneys to certify that they have conducted a reasonable inquiry and have determined that any papers filed with the court are well grounded in fact, [and] legally tenable." Park v. Kim, 91 F.4th 610, 614 (2d Cir. 2024) (citation omitted) (emphasis added). Accordingly, Rule 11 prohibits attorneys from "making frivolous legal arguments." Mata v. Avianca, Inc., 678 F. Supp. 3d 443, 459 (S.D.N.Y. 2023) (citation omitted). "At the very least, the duties imposed by Rule 11 require that attorneys read, and thereby confirm the existence and validity of, the legal authorities on which they rely." Park,

"When, as here, a court considers whether to impose sar s inherent power of contempt,' and, 'like contempt, sua sp should issue only upon a finding of subjective bad faith.' Muhammad v. Walmart Stores East, L.P., 732 F.3d 104, 10 have found subjective bad faith in a variety of cases, 'ran dishonest or contemptuous behavior, down to those wh nt as frivolous.' " Cardona v. Mohabir, No. 14-CV-1596, 201) (citation omitted). As one court in this District defined it, s:" conduct that falls between the mere frivolous and the "li lo. 11-MC-218, 2012 WL 2564523, at *2 (E.D.N.Y. July 2, 201 knowledge can constitute subjective bad faith where the speaker knew that he had no such knowledge.' " Mata, 678 F. Supp. 3d at 463 (citation omitted). In imposing sanctions, cou consider "either direct or circumstantial evidence that counsel knew" the action taken v meritless. Gushlak, 2012 WL 2564523, at *2.

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Across the country, courts have issued a panoply of sanctions against attorneys who submitted fake cases. In nearly all cases, courts have imposed monetary sanctions ranging from $1,500 to $15,000. See, e.g., Wadsworth v. Walmart Inc., 348 F.R.D. 489, 499 (D. Wyo. 2025) ($3,000 fine for the drafter of the brief with fake cases and $1,000 for other attorneys who signed, but did not draft brief); United States v. Hayes, No. 24-CR-0280, —— F.Supp.3d ——, ——, 2025 WL 235531, at *15 (E.D. Cal. Jan. 17, 2025) ($1,500 fine); Gauthier v. Goodyear Tire & Rubber Co., No. 23-CV-281, 2024 WL 4882651, at *3 (E.D. Tex. Nov. 25, 2024) ($2,000 fine); Mid Central Operating Engineers Health & Welfare Fund v. Hoosiervac LLC, No. 24-CV-00326, 2025 WL 574234, at *2-3 (S.D. Ind. Feb. 21, 2025) (recommending $15,000 fine); Mata, 678 F. Supp. 3d at 449 ($5,000 fine for citing fake cases and then submitting AI-generated fake excerpts from the fake cases).

In some cases, courts have referred attorneys to the appropriate disciplinary body for disciplinary proceedings. See, e.g., Park, 91 F.4th at 615-16 (referring attorney to Second Circuit's Grievance Panel); Hayes, —— F.Supp.3d at ——, 2025 WL 235531, at *15 (directing Clerk of Court to serve copy of sanctions order on bar). In addition to monetary sanctions (which are imposed in the vast majority of cases) and referrals, courts have imposed more targeted sanctions given the circumstances by, for example, revoking the pro hac vice admission of an attorney, Wadsworth, 348 F.R.D. at 497–98, or requiring the attorney attend CLE trainings regarding the use of AI, Gauthier, 2024 WL 4882651, at *3.

In determining the appropriate sanction, courts focus not on compensation for the aggrieved party, but on "the deterrence of baseless filings and the curbing of abuses." (RC) 2 Pharma Connect, LLC v. Mission Pharmacal Co., No. 21-CV-11096, 2023 WL 112552, at *3 (S.D.N.Y. Jan. 4, 2023) (citation omitted). For that reason, "a court should impos[illegible] achieve the goal." Id. at *4 (citing Schottenstein v. Schott[illegible]7, at *2 (S.D.N.Y. Apr. 18, 2005)).

III. DISCUSSION

Plaintiff's counsel's conduct hardly breaks new ground. T[illegible]a blank slate and will instead follow the well-trodden path [illegible]e dealt with similar unfortunate circumstances over the pa[illegible]

A. Plaintiff's Counsel Cited Cases She Knew She Had N[illegible]

As Plaintiff's counsel readily admitted after the Court issu[illegible] to make sure the cases cited in the Reply existed and we[illegible] that the arguments advanced in the Reply made sense." [illegible], although she apparently "skimmed" the Reply, she "clearly did not read it." Id. ¶ 5. As the [illegible]d Circuit has held, Rule 11 imposes an obligation on attorneys to, at a minimum, read the[illegible]ey cite to the Court. Park, 91 F.4th at 615. Had Plaintiff's counsel undertaken the routine tas[illegible]te checking her brief, she would have discovered that the cases generated by ChatOn at her

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instruction were fictitious. It thus appears that not only did Plaintiff's counsel fail to make the "reasonable inquiry" required by Rule 11, but she made no inquiry at all into the validity of the arguments she was making to the Court. Mid Central, 2025 WL 574234, at *2-3 ("Confirming a case is good law is a basic, routine matter and something to be expected from a practicing attorney."). What is worse, as Plaintiff's counsel again concedes, at least some arguments in the Reply undermined any basis for remanding this case to state court, which (again) would have been obvious to an attorney even glancing at the Reply.

The Court notes this conduct comes at a cost to Plaintiff Guerline Benjamin—a fact that was notably absent from Ms. Hovsepyan's own presentation at the April 16th hearing.[6] Clients hire attorneys to perform legal research, investigate the merit of their claims, and provide the best argument in support of their case to the Court. The Court cannot permit attorneys to delegate these fundamental tenants of the attorney-client relationship to an AI platform and submit the product to the Court without review. Lawyers in the State of New York are tasked with "provid[ing] competent representation to a client." N.Y. Rules of Professional Conduct Rule 1.1(a). "Competent representation requires the legal knowledge, skill, thoroughness and preparation reasonably necessary for the representation." Id. Thus, in turning to AI to perform a task she should have undertaken on her own, Plaintiff's counsel did not fully live up to that duty.

Next, this entire matter has been a waste of the Court's resources. The Court undertook a review of the Reply with the intention of resolving a routine matter of civil procedure. Instead, the Court has been left with no choice but to survey the case law regarding attorney misconduct relating to the use of AI. The collateral damage does not end there. Indeed, "[t]here is potential harm to the reputation of judges and courts whose names are falsely
ns
and to the reputation of a party attributed with fictional

A few more points bear mention. Plaintiff's counsel lame
because she "had very little time to draft the Reply." ECF
this explanation. First, Plaintiff received Defendant's late
Plaintiff ultimately was not ordered by Judge Choudhury
eleven days later. Under the original briefing schedule se
have had only seven days to serve a reply. Thus, Defenda
counsel more time to draft a reply than originally anticip
hollow in light of Plaintiff's own conduct regarding Defer
n
to remand. See ECF No. 16 (letter from Plaintiff to Judge
disregard Defendants' untimely opposition and proceed
hereby grant Plaintiff's Motion to Remand"). Rather than begin drafting a reply, Plaintiff's counsel instead focused her energy on pursuing overzealous litigation tactics in the form of a n
letter-writing campaign regarding Defendant's late submission. Perhaps Ms. Hovsepyan
reluctance to accommodate Defendant's extension request gave her pause before requesting her

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own extension. Nonetheless, as Plaintiff's counsel acknowledges, a short deadline is no excuse to fail to perform accurate legal research that is presented to the Court.

What is more, the arguments in the Reply make little sense in context and do not address most of the points raised in the opening brief. Even the shortest of deadlines is no excuse to abandon an attorney's obligation to make sensible and complete arguments to the Court. Indeed, it was the incoherence of the Reply that quickly alerted the Court that something had gone badly wrong.

B. Plaintiff's Counsel Acted in Subjective Bad Faith

All of this is to say that the conduct here was undoubtedly grossly negligent. However, in this Circuit, when a court sua sponte imposes sanctions, it must find that the attorney acted in bad faith. See United States v. Cohen, 724 F. Supp. 3d 251, 258 (S.D.N.Y. 2024) (noting that "sua sponte sanctions . should only issue upon a finding of subjective bad faith") (citation omitted). In urging the Court to refrain from imposing sanctions, Plaintiff's counsel expresses what the Court views as sincere regret and embarrassment for her conduct. The Court appreciates that Plaintiff's counsel immediately owned up to her conduct, rather than obfuscating or attempting to skirt responsibility. Additionally, she asserts that she has undertaken several CLE courses to inform herself of the potential dangers of utilizing AI for legal work. These developments are assuring, as they demonstrate that Plaintiff's counsel understands the seriously troubling nature of her conduct. But regret and apologies are not necessarily enough to avoid the imposition of sanctions for the submission of non-existent legal authority. See Dehghani, 2025 WL 988009, at *5 ("While the Court acknowledges that [counsel] was sincerely apologetic for his failure to ensure cases cited in his brief existed and for the extra work this has caused the Court, he has nonetheless failed to adhere to his obligations under Rule 11."). For the following reas
counsel acted in subjective bad faith and therefore impo

In Mata, a court in the Southern District of New York fou
faith by "not reading a single case cited in [his affirmatio
check whether any aspect of the assertions of law were v
Supp 3d at 464. By "signing and filing that affirmation af
in "subjective bad faith." Id. Notably, although the court i
bad faith, it also found that signing the affirmation const

In the Reply, Plaintiff's counsel "affirm[ed] the truth of th
perjury." ECF No. 19 at 1. The Court finds, however, that
such an assertion. That is because she did not know that
when she submitted it, as she had done nothing to ensu
submit the arguments supported by case law she had never read. Following the reasoni
the Court concludes that, in this context, the submission "under penalty of perjury" of
Plaintiff's counsel did not know to be true constitutes bad faith for purposes of Rule 11.
F. Supp. 3d at 462-63 ("A false statement of knowledge can constitute subjective bad faith where

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the speaker 'knew that he had no such knowledge.' ") (citation omitted); see also Zhang v. Tong, No. 17-CV-840, 2025 WL 992359, at *5 (S.D.N.Y. Apr. 1, 2025) ("[B]ad faith may be inferred when 'a party undertakes frivolous actions that are completely without merit.' ") (quoting Huebner v. Midland Credit Mgmt., Inc., 897 F.3d 42, 55 (2d Cir. 2018)). The facts here thus suggest much more than mere carelessness. Rather, Plaintiff's counsel was under what she viewed as a tight timeline. After unsuccessfully outsourcing the work on the first draft to her paralegal, she turned to AI to produce work she could not (or would not) do on her own. She then attempted to pass that work off as her own by affixing her name to a sworn statement affirming the truth of the contents. And she did this knowing that she had no personal knowledge of the accuracy of the statements within the affirmation. The Court is compelled to conclude this conduct rises to the level of subjective bad faith.[7]

C. Sanctions Are Warranted

Finally, the Court turns to determining the appropriate sanctions. As detailed above, courts have imposed financial sanctions on similarly situated attorneys ranging from approximately $1,500 to $5,000. The Court finds that a monetary sanction of $1,000 is appropriate in this case. The Court's sanction is lower than in many other similar cases in part because of Ms. Hovsepyan's candor and sincere regret. By contrast, in other cases, attorneys have double-downed on their misconduct in responding to orders to show cause by directing the AI platform to produce copies of the fake cases and then filing them with the court. See, e.g., Mata, 678 F. Supp. 3d at 453.

The facts here are considerably different, as Ms. Hovsepyan again and again has expressed remorse to the Court. Further, it appears that this is the only time [illegible] her own legal judgment. Finally, the Court has considered th[illegible] initiative) participated in CLE courses relating to this topi[illegible] participating in those courses. While the one-off nature [illegible] remorse do not absolve her of responsibility, they are mi[illegible] conclude that a fine of $1,000 is sufficient.

Such payment shall be made to the Clerk of Court within[illegible] below. Additionally, Plaintiff's counsel shall provide a cop[illegible]f of service on ECF. The Court declines to refer Plaintiff's c[illegible] revoke her pro hac vice status, as the Court is confident [illegible] unnecessary under the circumstances.

IV. CONCLUSION

For the foregoing reasons, the Court imposes the following sanctions pursuant to Rule

1. A penalty of $1,000 is imposed on Ms. Hovsepyan. The payment shall be made within [illegible]teen days of this order by check or money order to the Clerk of Court, EDNY. Payment may be mailed to

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days of this order by check or money order to the Clerk of Court, EDNY. Payment may be mailed to the Clerk's Office, 100 Federal Plaza, Central Islip, New York 11722. To be clear, such payment shall not be attributable to Plaintiff Benjamin.

2. Within fourteen days of this Order, Ms. Hovsepyan shall serve a copy of this Order on Plaintiff Benjamin and file proof of service on ECF.

FOOTNOTES

1. Indeed, in just the last few days, a court issued yet another order to show cause in a case in which an attorney apparently used AI to generate fake cases. See Order to Show Cause, Coomer v. Lindell, No. 22-cv-1129 (D. Colo. Apr. 23, 2025), ECF No. 309 (discussing citation of sham, AI-generated cases in a brief in opposition to a motion in limine).

2. Unfortunately, it appears the use of AI in court proceedings has seeped into oral advocacy as well. See Arthur Chi'en, AI-generated Lawyer Sparks Courtroom Controversy in New York, Fox 5 (Apr. 8, 2025), https://www.fox5ny.com/news/ny-ai-generated-lawyer-courtroom (discussing a plaintiff's "attempt to use an AI-generated avatar as his legal representative" and noting it "didn't go over well" in proceedings before a New York state court).

3. Notably, Defendant never raised any concern with the Court about the contents of the Reply or the apparently non-existent cases cited therein.

4. The Court also ordered Plaintiff to address the actual, existing case law regarding the motion to remand. In response, Plaintiff candidly withdrew the Motion to Remand with prejudice, and the Court thus denied it with prejudice on February 24, 2025. See Electronic Order, dated February 24, 2025.

5. As no transcript is yet available for the April 16, 202 from the For the Record ("FTR") Recording. The parties a transcript if they wish.

6. Indeed, although Ms. Hovsepyan's attorney discuss has had on Plaintiff Benjamin, Ms. Hovsepyan did not.

7. By contrast, one court declined to impose sanction s because the attorney merely reviewed a draft written in that had already been reviewed by another attorney. Coh found that the attorney "had confidence in the accuracy reputation and that he never contemplated that the cases were nonexistent." Id. at 25(The Court finds Cohen inapposite to the facts here. First, Plaintiff's does not (and cannot) make an tion that she relied on the work of other lawyers. Second, the facts here more closely mirro nd Circuit's decision in Park imposing sanctions because the attorney's "brief presents a false statement of law to this Court, and it appears that [the attorney] made no inquiry, much less the

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statement of law to this Court, and it appears that [the attorney] made no inquiry, much less the reasonable inquiry required by Rule 11 and long-standing precedent, into the validity of the arguments she presented." Park, 91 F.4th at 615-16. The undersigned has followed the precise course of action as the Second Circuit by ordering Plaintiff's counsel to produce the suspicious cases or, in the alternative, to explain her conduct, and then imposing sanctions (after a hearing) when it became clear the cases were fake.

LEE G. DUNST, Magistrate Judge:

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BENJAMIN v. COSTCO WHOLESALE CORPORATION (2025)

Docket No: 2:24-cv-7399 (LGD)

Decided: April 24, 2025

Court: United States District Court, E.D. New York.

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